Office Lease Comparison | Portfolio Case Study

Executive summary, underwriting assumptions, and instructions for presenting the analysis online.

Case study at a glance

Client: Lone Star Technology Solutions (hypothetical). Decision: Compare a Downtown Austin office lease with an alternative in the Domain, North Austin, across a consistent 84-month planning horizon (January 2028 through December 2034). The workbook uses a monthly cash flow model, a 9.0% annual effective discount rate, and sensitivity testing to assess cost and risk.

Metric	Downtown	Domain
Rentable area	25,000 RSF	23,000 RSF
Usable area	21,250 USF	20,700 USF
Initial term	60 months + 24-month modeled extension	84 months
Starting annual base rent	$49.00/RSF	$45.00/RSF
Free base-rent months	4	7
Initial cash requirement	$375,000	$855,000
Undiscounted 84-month cost	$11,217,998	$9,624,193
PV of occupancy cost	$8,260,084	$7,193,463

Base-case recommendation: Domain has a modeled present-value cost advantage of $1,066,621 (12.9% below Downtown), as well as $1,593,805 lower undiscounted cost. This is a financial recommendation, subject to operational fit, landlord terms, and the modeled assumptions.

Business problem and analytical approach

• Normalize two materially different lease structures to the same 84-month analysis period, including Downtown's extension period.

• Project monthly base rent, free-rent abatements, expense reimbursements, parking, tenant improvements, construction, relocation and deposit cash flows.

• Discount cash outflows using a consistent monthly effective rate; compare total PV, cost per rentable square foot, and initial liquidity.

• Stress-test the recommendation under changes in rent, parking, construction, relocation, extension rent and discount rates.

Detailed assumptions | Downtown vs. Domain

Assumption	Downtown	Domain
Rentable square feet	25,000	23,000
Usable square feet	21,250	20,700
Lease term, months	60	84
Base rent, annual/RSF	$49.00	$45.00
Annual base-rent growth	3.0%	3.0%
Free rent, months	4	7
TI allowance/RSF	$45.00	$85.00
Construction cost/RSF	$60.00	$105.00
Parking spaces	80	95
Parking/space/month	$175.00	$125.00
Parking annual growth	3.0%	3.0%
Base-year OpEx/RSF	$18.00	$16.00
Base-year taxes/RSF	$12.00	$10.00
OpEx annual growth	3.0%	3.0%
Tax annual growth	4.0%	4.0%

Downtown extension: 24 months at an initial extension rent of $57.00/RSF/year with 3% annual growth. Domain relocation: $185,000 moving, $75,000 IT, $35,000 other; $295,000 total. Domain has a $100,000 refundable deposit modeled at inception and refunded at the end of the term. Domain also includes a 5% controllable OpEx cap assumption.

Financial results and decision drivers

Cash flow category	Downtown	Domain
Net base rent	$8,988,108	$7,326,898
OpEx / tax reimbursements	$567,596	$450,394
Parking	$1,287,294	$1,091,901
Total recurring	$10,842,998	$8,869,193
Net construction + relocation	$375,000	$755,000
Total undiscounted	$11,217,998	$9,624,193

Cash flow category	Downtown	Domain
Present value	$8,260,084	$7,193,463
PV cost / RSF / year	$47.20	$44.68

The Domain benefits from lower starting rent, lower parking cost and a larger TI allowance, but requires a greater initial cash outlay. Downtown provides more rentable area and a central-business-district location; its extension structure creates additional rent-reset exposure.

Sensitivity findings and negotiating implications

Sensitivity / break-even	Model indication
Domain starting rent	$54.08/RSF/year
Domain parking rate	$289.87/space/month
Domain construction cost	$151.37/RSF
Downtown extension rent	$21.65/RSF/year
Total Domain relocation cost	$1,361,621
Combined downside, severe	$-84,074 Domain advantage (negative = Downtown wins)
Combined downside, extreme	$-659,421 Domain advantage (negative = Downtown wins)

Sensitivity thresholds are single-variable break-even points under the stated model, not market forecasts. The combined downside scenarios show that the recommendation can reverse when several unfavorable assumptions move together.

How to publish this case study on a portfolio website

1. Hero: Use the split Domain-left / Downtown-right illustration. Label it as conceptual/illustrative imagery, not photographs of identified subject properties.

2. The decision: State the hypothetical tenant, 84-month comparison period, and the central question: which lease delivers lower risk-adjusted occupancy cost?

3. Executive outcome: Display three figures prominently: $8.260M Downtown PV, $7.193M Domain PV, and $1.067M Domain PV advantage.

4. Method: Show a compact flow: lease assumptions → monthly cash flows → discounted cost → sensitivity analysis → recommendation.

5. Evidence: Include a clean comparison table, a bar chart of PV cost, and one sensitivity graphic with the crossover risk.

6. Your role: Explain that you independently structured the Excel model, calculated monthly cash flows, modeled reimbursements and deposits, and performed scenario testing.

7. Transparency: Describe the case as hypothetical, state that inputs are provided case assumptions rather than verified current leasing quotes, and note key exclusions and uncertainties.

8. Downloadables: Offer the case study PDF and, if comfortable, a read-only or sanitized version of the Excel workbook.

Suggested website-ready description

Office Lease Comparison — Downtown Austin vs. the Domain
Developed an 84-month, monthly discounted cash flow model to compare two hypothetical office leasing alternatives for a growing technology tenant. The analysis incorporated base rent, contractual escalations, free-rent periods, expense reimbursements, parking, tenant improvements, construction costs, relocation expenses, and a refundable security deposit. At a 9% annual discount rate, the Domain alternative produced approximately $7.19 million in present-value occupancy cost versus $8.26 million Downtown, a $1.07 million base-case advantage. Sensitivity testing quantified break-even lease terms and demonstrated how combined downside scenarios could reverse the recommendation. Illustrative case study; not a representation of actual available lease offers.

Skills demonstrated

Monthly Excel modeling; tenant lease analysis; lease economics; reimbursement structures; discount-rate conversion; discounted cash flow; scenario and break-even analysis; financial controls; executive recommendation writing; professional presentation.